

PENALTY

1. Liquidated Damages

If the successful bidder fails to supply, install or maintain any or all of the goods as per the contract, within the time period(s) specified in the Contract, the Purchaser without prejudice to its other rights and remedies under the Contract, will deduct from the Contract price, as liquidated damages, a sum equivalent to 0.2 % per week or part thereof of total contract value for a milestone.

The deduction shall not in any case exceed 10 percent of the total contract value.

The Purchaser may without prejudice to its right to effect recovery by any other method, deduct the amount of liquidated damages from any money belonging to the bidder in its hands (which includes the Purchaser's right to claim such amount against the bidder's Bank Guarantee) or which may become due to the successful bidder. Any such recovery or liquidated damages shall not in any way relieve the successful bidder from any of its obligations to complete the Work or from any other obligations and liabilities under the Contract.

Delay not attributable to the bidder will be considered for exclusion for the purpose of computing liquidated damages.

2. Timely Servicing / rectification of defects during warranty period:

- a. After having been notified of the defects / service requirement during warranty period, successful bidder has to complete the required Service / Rectification within 2 days' time limit.
- b. If the successful bidder fails to complete service / rectification with defined time limit, a penalty of 0.5% of Unit Price of the product shall be charged as penalty for each week of delay from the seller.
- c. Cumulative Penalty cannot exceed more than 10% of the contract value. The penalty chargeable for non-rectification of the identified defects within in the prescribed time shall be irrespective of the LD charges imposed, if any, for the delay in the delivery of the project
- d. CBI may initiate the process of Black-listing the Bidder if the desired services for rectification for defects is not provided as required under the conditions of Contract.